Poverty as a Challenge

The big idea

Poverty is one of the most difficult challenges independent India has faced. It means **hunger, lack of shelter, illiteracy, ill health, lack of clean water and sanitation, lack of a regular job**, and also a feeling of **helplessness**. This chapter explains how poverty is measured, who is poor, why poverty exists, and how India fights it.

Poverty seen through case studies

The textbook describes people such as **Ram Saran** (a daily-wage labourer in a flour mill near Ranchi, Jharkhand), **Lakha Singh** (a landless labourer in a village near Meerut, UP), **Santosh** (a widow working as a domestic help in Delhi) and **Kailash** (a city construction worker). They lack regular work, enough food, education for their children, health care and decent housing. The poor are also treated badly at almost every place: in farms, factories, government offices, hospitals and schools.

Social exclusion: poverty must be seen as the poor having to live only in a poor surrounding with other poor people, **excluded** from enjoying social equality with better-off people. The caste system in India is a typical example, where people of certain castes are excluded from equal opportunities.

Vulnerability: vulnerability to poverty describes the greater probability of certain communities (members of a backward caste) or individuals (widows, physically handicapped) becoming, or remaining, poor in the coming years. It is determined by the options available to different communities for finding an alternative living, in times of natural disasters or job losses.

Poverty line

A common method to measure poverty is based on **income or consumption levels**. A person is considered poor if his or her income or consumption level falls below a "minimum level" necessary to fulfil basic needs. This level is the **poverty line**.

- In India, the poverty line considers a **minimum level of food requirement**, clothing, footwear, fuel and light, educational and medical requirement. These physical quantities are multiplied by their prices in rupees.
- **Calorie requirement:** the accepted average calorie requirement is **2,400 calories per person per day in rural areas** and **2,100 calories in urban areas**. Rural people do more physical work, so they need more calories.
- On the basis of these calculations, for the year **2011–12**, the poverty line was fixed at **Rs 816 per person per month for rural areas** and **Rs 1,000 for urban areas**. A family of five in rural areas earning less than about Rs 4,080 per month is below the poverty line.
- The poverty line is estimated periodically (normally every five years) by conducting sample surveys, carried out by the **National Sample Survey Organisation (NSSO)**.
- For international comparison, the **World Bank** uses a uniform standard: minimum availability of the equivalent of **$1.90 per person per day** (2011 PPP).

SAME POVERTY LINE EVERYWHERE? NO

The poverty line varies with **time and place**. Each country uses an imaginary line suited to its own development level and accepted minimum social norms. Rural and urban lines also differ.

Poverty estimates

- The proportion of people below the poverty line fell from about **45% in 1993–94 to 37.2% in 2004–05**, and further to **21.9% in 2011–12**.

- The number of poor fell from **407 million in 2004–05 to 270 million in 2011–12**. If the trend continues, people below the poverty line may come down to less than 20% in the next few years.

Vulnerable groups: Scheduled Castes and **Scheduled Tribes** households are most vulnerable; among economic groups, **rural agricultural labour** households and **urban casual labour** households. Within a poor family, women, elderly people and **female infants** suffer more (intra-household inequality); they are often denied equal access to resources.

Inter-state disparities: poverty varies across states. **Madhya Pradesh, Assam, Uttar Pradesh, Bihar and Odisha** have poverty ratios above the all-India level; **Bihar and Odisha** remain the two poorest states (about 33.7% and 32.6% in 2011–12). States that reduced poverty significantly: **Kerala, Jammu and Kashmir, Andhra Pradesh, Tamil Nadu, Gujarat and West Bengal**. Reasons: **Punjab and Haryana** used high agricultural growth rates; **Kerala** focused on **human resource development**; **West Bengal** used **land reform** measures; **Andhra Pradesh and Tamil Nadu** used public distribution of food grains.

Global poverty: the proportion of people in developing countries living in extreme poverty (below $1.90 a day) fell from 36% in 1990 to about 10% in 2015. Reduction has been large in **China and South-East Asia** due to rapid growth and investment in human resources. In **Sub-Saharan Africa**, poverty declined from 54% in 1990 to 41% in 2015. In Latin America it remained about the same. The **Sustainable Development Goals (SDGs)** of the UN propose to end poverty of all types by **2030**.

Causes of poverty

1. **Low level of economic development under British colonial rule**: policies ruined traditional handicrafts and discouraged textile industries.
2. **Low rate of growth** after independence, until the 1980s, accompanied by a **high growth rate of population**, so the growth rate of per capita income was low.

3. The Green Revolution created jobs, but limited to some parts of India; industries could not provide enough jobs. Unable to find proper jobs in cities, many became rickshaw pullers, vendors, construction workers and domestic servants, living in slums.
4. **Huge income inequalities**: **unequal distribution of land** and other resources. Land reforms were not implemented properly by most state governments.
5. **Socio-cultural factors**: to fulfil social obligations and religious ceremonies, the very poor spend a lot of money, often borrowing.
6. **Indebtedness**: small farmers need inputs; they borrow at high interest, and when crops fail they cannot repay and fall deeper into poverty.

Anti-poverty measures

The government's strategy has two planks: (1) **promotion of economic growth**, and (2) **targeted anti-poverty programmes**.

Economic growth: since the 1980s India's growth rate has been one of the fastest in the world (about 6% in the 2000s). Growth widens opportunities and provides resources for investment in human development. But the poor may not benefit directly from growth, so targeted programmes are needed.

Important programmes:

Programme	Year	Aim
Mahatma Gandhi National Rural Employment Guarantee Act (MGNREGA)	**2005**	**100 days** of assured wage employment every year to every rural household in 200 districts (later extended to all); one-third of jobs reserved for women; if not given work within 15 days, an unemployment allowance
Prime Minister Rozgar Yojana (PMRY)	1993	Self-employment opportunities for educated unemployed youth in rural areas and small towns

Programme	Year	Aim
Rural Employment Generation Programme (REGP)	1995	Self-employment opportunities in rural areas and small towns; target of 25 lakh new jobs under the Tenth Five Year Plan
Swarnajayanti Gram Swarozgar Yojana (SGSY)	1999	Bring assisted poor families above the poverty line by organising them into **self-help groups** through bank credit and government subsidy
Pradhan Mantri Gramodaya Yojana (PMGY)	2000	Additional central assistance to states for basic services such as primary health, primary education, rural shelter, drinking water and electrification
Antyodaya Anna Yojana (AAY)	2000	Food grains at highly subsidised rates to the poorest of the poor (see Food Security)
Pradhan Mantri Jan Dhan Yojana (PMJDY)	2014	Bank accounts for all, with insurance

The results have been **mixed**: one major reason is the lack of proper implementation and right targeting; there has been a lot of overlapping of schemes.

The challenges ahead

Poverty has certainly declined, but removing it remains a major challenge. The concept of poverty is expanding: from "minimum subsistence level" to "**reasonable level of living**", including health, education, job security, self-confidence, avoiding discrimination, and equality of opportunity. **Wider access to healthcare, education, job security**, gender equality and dignity for the poor must be achieved.

BOARD FAVOURITE

"What is the poverty line? How is it estimated in India?", "Describe the major causes of poverty" and "Explain MGNREGA" are very common. Remember 2,400 (rural) and 2,100 (urban) calories.

Quick recap

- Poverty: hunger, lack of shelter, health, education, jobs; social exclusion and vulnerability are wider ways of seeing it.
- Poverty line based on calories (2,400 rural, 2,100 urban) and money (Rs 816 rural, Rs 1,000 urban per month, 2011–12).
- Poverty fell to 21.9% (2011–12); SC/ST, agricultural and casual labourers most vulnerable; Bihar and Odisha poorest.
- Causes: colonial legacy, low growth plus high population growth, inequality, social customs, debt.
- Anti-poverty strategy: growth + targeted programmes (MGNREGA 2005, PMRY, REGP, SGSY, PMGY, AAY).

Practice questions

1. The accepted average calorie requirement per person per day in rural India is
   (a) 2,100 calories (b) 2,400 calories (c) 2,800 calories (d) 1,800 calories

2. For 2011–12 the poverty line for rural areas was fixed at
   (a) Rs 1,000 per person per month (b) Rs 4,080 per person per month (c) Rs 600 per person per month (d) Rs 816 per person per month

3. MGNREGA guarantees how many days of wage employment per year to every rural household?
   (a) 50 days (b) 365 days (c) 100 days (d) 200 days

4. Which organisation conducts the sample surveys used to estimate poverty in India?
   (a) National Sample Survey Organisation (NSSO) (b) Reserve Bank of India (c) World Bank (d) Election Commission

5. Which of these is the most vulnerable social group with regard to poverty in India?
   (a) Urban salaried employees (b) Large farmers (c) Government officers (d) Scheduled Tribe households

6. Kerala reduced poverty mainly by focusing on
   (a) land reforms (b) high agricultural growth (c) human resource development (d) public distribution of food grains only

7. The scheme that organises the poor into self-help groups through bank credit and government subsidy is
   (a) PMRY (b) REGP (c) PMGY (d) SGSY

8. What is the poverty line? How is it estimated in India?

9. Describe the major causes of poverty in India.

Answers: 1. b 2. d 3. c 4. a 5. d 6. c 7. d 8. see notes 9. see notes